

Multiple Ethical Standards

by Sophia



WHAT'S COVERED

In this lesson, you will learn about how ethical standards differ within different contexts, both within business and between work and other areas of life. In particular, you will learn about:

1. Self-Interest

People sometimes apply different ethical standards in different contexts, especially if they are working in a culture different from the one in which they were raised or with coworkers from other traditions. They may even be told that it is necessary. As the old saying goes, “When in Rome, do as the Romans.” That is good advice when it comes to etiquette, but changing ethics is a different matter. If you look outside yourself for ethical guidance, relying on the context in which you find yourself, you can grow confused about what is ethical business behavior. Stakeholders then observe that the messages you send and your conduct lack a consistent ethical core, which can harm your reputation and that of your business.



TRY IT

A wholesaler is told that they must “grease the wheels” to get past regulations in some foreign countries —meaning, bribe government officials in those countries. The bribe will help the wholesaler get past some difficult regulations and allow them to do business in that country much quicker. Assuming a bribe is offered and taken, consider the following:

What is the impact on the professional relationships with the person who decides to decline the bribe and not accept it?

+

You might find that the person’s trust for you and for your organization is damaged.

How will it affect relationships with countries that do not expect bribes?

+

Relationships will be damaged due to mistrust and perhaps feeling that their own honesty was exploited.

How will the general public respond?

+

If the bribery is discovered and revealed, the public may wonder what other kinds of corruption exist in the organization. Customers and investors will be less enthused to buy products or buy stock.

Even within an organization, someone may vary their ethics. Some people are respectful to their colleagues of equal status or greater, but disrespectful to those perceived as having lower status. Nor is varying one's ethics limited to different roles at work. Somebody who adopts multiple ethical standards may choose to exhibit the highest standards with their family, because they are the people they most revere. In a business setting, however, this same person may choose to be an unethical actor whose sole goal is the ruthless accumulation of wealth by any means. Because work and family are not the only two settings in which people live, such a person may behave according to yet another standard to competitors in a sporting event, to strangers on the street, or to those in their religious community.

To behave differently with colleagues of different rank, or behaving differently at work and at home, with friends and with strangers, is understandable. For example, some people might be harsh to underlings at work and more understanding of their children at home out of pure self-interest; they worry that being “soft” at work will lead to poor performance by their team and reflect badly on their own work. They have no such worry at home but do want to build strong relationships with their children. In short, they don't care if their subordinates visit them in their old age! Conversely, someone may have more integrity at work than they do at home. Perhaps they would never lie to a colleague or customer, but frequently lie to relatives to avoid discomfort or unwanted tasks. These are also motivated by self-interest; honesty at work helps cultivate a relationship that will lead to promotion and advancement. There is no such concern among family members. Equally important, hurting the feelings of colleagues by telling hard truths won't hurt as much personally as estranging a parent or sibling.

In short, there really is not a varying ethical standard at play, but a flexible approach to “performing” ethics based on a core value of self-interest. Indeed, acting in your own self-interest is in itself an approach to ethics, called **ethical egoism**. The theory began with Tomas Hobbes (1588-1679) who believed all human activity was motivated by self-regard. However, this was descriptive—that is, he did not state people should be driven by self-interest, but that they were. Adam Smith (1723–1790) subsequently laid out the principles of capitalism, believing that “the invisible hand” of the marketplace would be good for society with every participant acting out of self-interest. Ayn Rand (1905–1982) took the idea of self-interest as an ethical model even further in books like the novel *Atlas Shrugged* and the nonfiction treatise, *The Virtue of Selfishness*. Though never taken seriously by academics, Rand is perhaps the most influential writer on American business philosophy in the 20th century; her works are favored by many businesspeople and politicians. Importantly, it is a condition of the Randian model of ethical egoism that people do not lie or cheat, merely that they ruthlessly aspire to gain wealth and power (Ya-Yun, n.d.). It's easy to see why such a belief would entice many people, as it requires no self-sacrifice.

However, in practice, ethical egoism is a dead end. Business is a collaborative effort, and if everyone pursues their own ends, the business will fail. Even with the caveat of honesty, the trust and mutual respect needed for people to work together can't exist. This is not to say that self-interest isn't relevant, or that you can pretend it does not exist, just that it cannot be the sole driving force for ethical decision making.



THINK ABOUT IT

Can any action be truly selfless? When a billionaire donates money to a good cause, it brings respect, polishes their reputation, and often has tax benefits as well. Even a small act of kindness repays a person with gratitude from the recipient and good feeling.

Moreover, changing one's ethics based on context is a kind of **ethical relativism**, a philosophy according to

which there is no objective right or wrong, and what is ethical depends solely on the context. However, as noted in the tutorial, “Is there a Universal Ethic?,” there must be at least some ethical principles for business to succeed, even (or perhaps especially) across cultures. Moreover, ethical relativism limits both personal growth and the progress of an organization. You must choose a coherent standard you can apply to all your interactions with others.



HINT

Relativism may be confused with consequentialism because ethical decisions are based on desirable outcomes, but consequentialism still relies on a sense of objective moral truth. Relativism views ethics as arbitrary and variable, with no objective moral truths to guide decisions.

Although the ethical standard you adopt is always a choice, certain life experiences can have more profound effects on your choice than others. Among the most formative experiences are family upbringing and cultural traditions, broadly defined here to include religious and ethnic norms, the standard patterns of behavior within the context in which you live. Culture and family also influence each other because the family exists in and responds to its cultural context, as well as provides you with the bedrock for your deepest values. Regardless of this initial coding, however, you can choose the ethical standards you apply in the business context.



TERMS TO KNOW

Ethical Egoism

The belief that acting in your own self-interest is ethical.

Ethical Relativism

A philosophy according to which there is no objective right or wrong and what is ethical depends solely on the context.

2. A Single Ethical Code

Why should you choose a single ethical code for all the contexts in which you live? The Greek philosophers and later proponents of the normative ethical theories you learned about earlier would say that if you apply your reason to determine how to behave, it makes rational sense to abide by a single ethical code for all interactions with all persons in all contexts. By doing so, you maximize your ethical behavior no matter who the other party is. Furthermore, you have an internally consistent behavior for all family, friends, customers, clients, and anyone else with whom you interact. Thus, you need not choose different values in different contexts, and when people see you in different situations, they are more likely to trust you because they see you uphold the same values regardless of the context.

Indeed, proponents of all the normative ethical theories would insist that the only rational choice is to have a single ethical standard. A deontologist would argue that you should adhere to particular duties in performing your actions, regardless of the parties with whom you interact. A utilitarian would say that any act you take should result in the greatest good for the greatest number of people. A virtue ethicist would state that you cannot be virtuous if you lack integrity in your behavior toward all. A social justice theorist would argue for fairness, so of course you would treat all people equally.

Adopting a consistent ethical standard is in the manager’s self-interest. That is, would-be customers and clients are more likely to seek out a business that treats all with whom it interacts with honesty and fairness, believing that they themselves will be treated likewise by that firm. Similarly, business leaders who treat everyone in a trustworthy manner need never worry that they might not have impressed a potential customer, because they always engage in honorable commercial practices. A single standard of business behavior that

emphasizes respect and good service appeals to all.

Normative ethics is about discovering right and delineating it from wrong; it is a way to develop the rules and norms you use to guide meaningful decision making. The ethics in your single code are not relative to the time, person, or place. You play different roles as you go about your life—for example, employee, parent, leader, and student. Being a truly ethical person requires that no matter what role you are playing, you exhibit the same ethical code and that it includes, among other things, such universal principles of behavior as honesty, integrity, loyalty, fairness, respect for law, and respect for others.

Yet another reason to adopt a universal ethical standard is the transparent character it nurtures in you. If a company's leadership insists that it stands for honest business transactions at every turn, it cannot prosecute those who defraud the company and look the other way when its own officers do the same. Stakeholders recognize such hypocrisy and rightly hold it against the business's leaders. These ethical standards often take the form of a professional code of ethics, which you will learn more about in the next unit.

Business leaders are not limited to only one of the normative ethical theories you have described, however. Virtue theory, utilitarianism, and deontology all have advantages to recommend them. Still, what should not change is a corporate commitment to not make exceptions in its practices when those favor the company at the expense of customers, clients, or other stakeholders.



REFLECT

How do you make decisions? Are you more worried about the consequences for yourself or how other people deserve to be treated? It is perfectly normal to think about how your actions come back to reward you or come back to haunt you, but personal integrity depends upon developing a consistent ethical code, treating all people as you want to be treated or as all people deserve to be treated.

Moving from theory to daily life, you can also look at the way your reputation is established by the implicit and explicit messages you send to others. If you adopt ethical relativism, friends, family, and coworkers will notice that you use different standards for different contexts. This lack of consistency and integrity can alter their perception of you and likely damage your reputation.



SUMMARY

In this lesson, you learned that it can be tempting (even advised) to adapt your ethical standards based on the context they are delivered. This is called ethical relativism, but it is also closely related (in this context) to **self-interest**, since the shifting ethics depend on what one wants. Self-interest is not intrinsically bad, but you need to look for a **single ethical code** that you stand by even when it does not serve your interests.

Source: THIS TUTORIAL HAS BEEN ADAPTED FROM OPENSTAX "BUSINESS ETHICS". ACCESS FOR FREE AT [OPENSTAX.ORG/BOOKS/BUSINESS-ETHICS/PAGES/1-INTRODUCTION](https://openstax.org/books/business-ethics/pages/1-introduction). LICENSE: **CREATIVE COMMONS ATTRIBUTION 4.0 INTERNATIONAL**.



TERMS TO KNOW

Ethical Egoism

The belief that acting in your own self-interest is ethical.

Ethical Relativism

A philosophy according to which there is no objective right or wrong and what is ethical depends solely on the context.